
7. The secondary liability of online intermediaries¹

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1 INTERNET INTERMEDIARIES

The Internet has contributed to disintermediation, facilitating interactions between individuals, commercial entities and public agencies. However, intermediation has not disappeared; over the Internet new intermediaries have emerged—most of which are private actors—which play a crucial role.² They provide and maintain the infrastructures that enable the communication of information and the performance of economic and other activities over the Internet: the physical layout of cables and computers, the management of transmissions over connection lines, data storage and processing, services facilitating the creation of content and access to it, etc.

A report by the OCDE³ proposes the following definition for Internet intermediaries: “Internet intermediaries bring together or facilitate transactions between third parties on the Internet. They give access to, host, transmit and index content, products and services originated by third parties on the Internet or provide Internet-based services to third parties”. The OCDE report distinguishes the following kinds of Internet intermediaries:

- Internet access and service providers, offering wired and wireless access to the Internet
- Data processing and web hosting providers, offering domain names, storage of web sites, and cloud services
- Internet search engines and portals, offering aid to navigation on the Internet
- E-commerce intermediaries, enabling online buying and selling
- Internet payment systems, processing online payments
- Participative networking platforms.

This distinction still remains relevant today, though the salience of different kinds of intermediaries has changed over time. Recent years have seen the emergence of the so-called web 2.0: the content available on the Internet is provided by a diverse range of actors, including a huge number of non-professional users. In this context, a leading role is played by content-intermediaries, enabling the creation, distribution and access to content. They include two of the categories described above: Internet search engines and portals, and participative

¹ This chapter is an update and development of the Report Providers Liability: From the eCommerce Directive to the future, presented to the IMCO Committee of the European Parliament (IP/A/IMCO/2017-07, October 2017).

² Christopher S Yoo, *The Dynamic Internet: How Technology, Users, and Businesses Are Transforming the Network* (AEI Press 2012).

³ OECD, *The Economic and Social Role of Internet Intermediaries* (Report DSTI / ICCP (2009) 9 / FINAL, 2010).

Table 7.1 *Participative platforms*

Type of Platform	Examples
Blogs	WordPress
Wikis, other text-based collaborations	Wikipedia
Instant messaging	WhatsApp
Mobile	Mobile Facebook
Sites allowing feedback on written works	Amazon
Group-based aggregation	Reddit
Photo-sharing sites	Flickr
Podcasting	iTunes,
Social network sites	Facebook
Virtual worlds	Second Life
Online computer games	World of Warcraft
Video content or file-sharing sites	YouTube

networking platforms. The following Table 7.1 distinguishes different kinds of participative platforms.

In the most recent years, a number of platforms have also emerged that connect providers and users of various services. Consider for instance platforms for car services (Uber), short term rentals (Airbnb), food delivery, etc. Such platforms often take an active role in providing information, supporting and enforcing agreements, monitoring and controlling service providers, giving incentives and disincentives to engineer desired behaviours of providers and users.

What is common to platforms, irrespective of their different purposes, is that each of them is a “digital environment characterized by near-zero marginal costs of access, reproduction, and distribution of information”.⁴ This puts them at a competitive advantage in comparison with pre-existing structures in all domains in which such aspects are crucial, and enables them to control and manage the delivery of the services, ensure quality and provide trust to users, while maintaining a thin algorithm-based structure. This chapter will be focused on intermediaries whose main function is to enable users to distribute online textual or media content, such as blogs, social network sites, platforms for sharing video content or files and sites allowing users’ comments or other feedback.

2 SOME ECONOMIC ASPECTS

Some economic aspects are relevant to secondary liability of Internet intermediaries.⁵

First, some intermediation services are characterised by network externalities: larger services enjoy a competitive advantage since they enable more connections or provide more content and therefore are more attractive to users. Thus, quasi-natural monopolies emerge: a single winner tends to prevail in many sectors, such as Google for searching, or Facebook for social networking. This tendency is enhanced by the fact that Internet intermediation is largely

⁴ Andrew McAfee and Erik Brynjolfsson, *Machine, Platform, Crowd: Harnessing Our Digital Future* (WW Norton & Company 2017).

⁵ On the Internet economy, see among others Hal R Varian, Joseph Farrell and Carl Shapiro, *The Economics of Information Technology: An Introduction* (CUP 2004); Yoo, *supra* note 2; and McAfee and Brynjolfsson, *supra* note 4.

based on automated processing, so that each additional user has a very low marginal cost for the intermediary.

Secondly, the revenue model adopted by many intermediaries consists in providing content and services for free, alongside the delivery of advertising and the collection of data, often personal details. The collection of data enables platforms to improve their advertising performance (through the personalisation of ads), and to deliver further services (e.g., market research) to be used internally or to be sold to third parties. New technologies for collecting, managing and analysing big masses of data provide the largest intermediaries with an additional competitive advantage relative to smaller ones: such intermediaries can sell additional services based on their monopoly over the “big data” they have collected; their ability to deploy the most advance technologies may be inaccessible to smaller competitors.

Intermediaries relying on advertising operate in two-sided markets: they have different classes of clients—advertisers and users—and have to take into account the interests of both. There is interdependence between advertisers and users: to satisfy advertisers intermediaries must attract users, providing the latter with a valuable service, or at least with a service that appears valuable to them. However, there is a potential conflict of interests between the two sides of the market. Advertisers want the attention of users, distracting them from alternative interests and occupations.⁶ They want to target them specifically, appealing to their interests, but also to their possible weaknesses or lack of alternative information.⁷ Many users, nevertheless, would prefer less distraction, more privacy, and more accurate information on the available options. There may also be tension between two different classes of users, i.e., publishers and recipients of content. For instance, many recipients may prefer to be shielded from some content, which they find objectionable (pornography, violent or vulgar expressions, etc.) or just irrelevant to their interests. Thus, intermediaries may adopt the policy of removing or blocking such content, frustrating the communicative intent of its publishers.

Free services offered without advertising, on a non-profit basis, also play an important role in the Internet ecology. An important example is Wikipedia, the most successful online encyclopaedia, which is supported by donations, and is run by a foundation.

Finally, many intermediaries—such as most access providers—may offer their services via subscriptions.

A particular case of “free” service is WhatsApp, which sends no ads to its users, but transfers user data to its parent company (Facebook), which uses such data for advertising purposes. This behaviour led to sanctions by the EU Commission (which was misled in this regard by Facebook at the time of the merger) and by regulators in Italy, France and Germany.

3 INTERMEDIARIES’ SECONDARY LIABILITY

Legal systems may impose sanctions on users and intermediaries for unlawful online activities, based on different premises. First, sanctions (civil, administrative or criminal ones)

⁶ On attention markets, see Tim Wu, *The Attention Merchants: The Epic Scramble to Get Inside our Heads* (Knopf 2016).

⁷ Cathy O’Neil, *Weapons of Math Destruction: How Big Data Increases Inequality and Threatens Democracy* (Crown Publishing 2016).

against users are triggered by illegal activities (defamation, fraud, threats, etc.) that the same users accomplish through the intermediary infrastructure.

Second, sanctions against intermediaries are triggered by unlawful activities initiated by the same intermediaries (violating privacy/data protection, abusing of dominant market power, initiating illegal communications, etc.).

Third, sanctions against intermediaries may be triggered by illegal activities initiated by their users.

Here I shall only focus on this third category of sanctions, which constitute the *secondary liabilities* of intermediaries. In such cases, the intermediary does not initiate the wrongful activity that triggers the sanction, but rather provides the context or infrastructure that enables and facilitates the users' illegal behaviour or magnifies its impacts. Without the platform hosting the information and enabling its transmission the wrongful communication could not take place; without the search engine, the illegal communication would not reach so many people, etc.

Legal systems can recognise the secondary liabilities of intermediaries to different extents and under different conditions. Differences may concern the conditions that are needed for secondary liability to be triggered as well as the sanctions being triggered. Relatively to the facts originating secondary liability, we may distinguish the following possible approaches:

- **Strict liability.** The secondary liability of the intermediary is only dependent on the fact that the intermediation service has enabled the illegal and harmful users' behaviour: enabling the illegality—and in this sense, causing it—is a sufficient condition for secondary liability.
- **Negligence liability (broadly understood).** The secondary liability of the intermediary requires further involvement by the intermediary, besides enabling the users' illegal behaviour. This further involvement may consist in knowledge that the illegal users' activity is taking place and possibly also in the awareness that such activity is or may possibly be illegal. More generally it may consist in the violation of a duty of care to take measures to monitor users' behaviour, prevent harmful actions, or mitigate their effects. It is a responsibility arising from a general omissive behaviour, the failure to take due care. An aspect of the liability for negligence, where the distinction between omission and action becomes shady, concerns design liability, which consists in shaping the platform in such a way that unlawful user behaviour is enabled or even promoted, or omitting cautions that could have prevented such behaviour.
- **Liability under safe harbour conditions.** The intermediary's liability requires the omission of a specified measure, such as failure to respond to removal requests. Taking the specified measure grants exemption from liabilities.
- **Full immunity.** The intermediary is shielded from any liability from users' behaviour, being responsible only when cooperating with users in the unlawful action.

An important distinction concerns whether the intermediary is shielded from sanctions or also from injunctions.

- **Immunity from sanctions.** The intermediary (which meets the conditions for being exempted from liability) is immune from the sanctions that are triggered by the user's illegal activity, but is still subject to orders by competent authorities, requiring the inter-

mediary to terminate or prevent illegal users' activities, or to mitigate the consequences of such activities.

- Immunity from sanctions and injunctions. The intermediary is immune not only from sanctions, but also from orders of judicial or administrative authorities. These authorities are precluded from enjoining the intermediary to interfere with the wrongful activity of its users.

Relative to the applicable sanctions, a legal system may establish that the intermediary incurring secondary liability is subject to the same civil, administrative or criminal sanctions as users, or to different sanctions, lower or higher than those that apply to the users, or of a different kind (e.g., administrative rather than criminal). Given this broad set of choices for regulating secondary liability, we may wonder what kind of regime is preferable. To address this issue, we need to consider the rationale of a legal regime for intermediaries' liability, namely, what reasons may justify the choice of what facts give rise to secondary liabilities and what sanctions are entailed by such facts.

4 THE RATIONALE FOR THE SECONDARY LIABILITY OF INTERNET INTERMEDIARIES

The Internet intermediaries under consideration play an overall positive social role (I am not considering intermediaries whose business model is based on enabling illegal activities, such as platforms meant to support illegal exchanges in the so-called dark web, or platforms devoted to the unauthorised distribution of copyrighted content). Such intermediaries enable activities which are important to their users and that—considered as an aggregate—are socially beneficial. These activities may in many cases correspond to the exercise of fundamental rights and liberties: freedom of expression; economic freedoms; access to information, to culture and education; freedom of association and political participation, etc. So, the problem is to establish to what extent intermediaries that contribute to creating a socially beneficial communication infrastructure, should be liable for the misuse of that infrastructure by their users.⁸

Let us first consider what reasons may justify imposing secondary liabilities upon intermediaries.

- First, there is the need to ensure that the victims of illegal online behaviour (the individuals whose reputation, privacy, IP rights, etc. have been violated) can be compensated. It is often difficult for such victims to obtain compensation from primary infringers: the users engaging in the illegal online behaviour may be anonymous or not easily reachable; even when reachable, they may be insolvent; the victims may have no easy way to determine in advance whether the offenders are reachable and solvent; the value of the case often does not justify engaging in costly proceedings. The possibility of having recourse to the intermediary, usually a business entity with financial resources, would increase the victim's chances of getting compensation.

⁸ Sophie Stalla-Bourdillon, 'Sometimes One is Not Enough! Securing Freedom of Expression, Encouraging Private Regulation, or Subsidizing Internet Intermediaries or All Three at the Same Time: The Dilemma of Internet Intermediaries' Liability' (2012) 7 *Journal of International Commercial Law and Technology* 154.

- Second, imposing liability on the intermediary may induce the intermediary to terminate or mitigate the consequences of the illegal behaviour of its users (e.g., remove the illegal information from a platform or block access to it, limit access by removing links and indexation, etc.).
- Third, imposing liability on the intermediary may induce the intermediary to prevent illegal behaviour of its users, adopting proactive measures (e.g., filtering content, excluding violators from using the platform in the future, etc.).

Note that the second and third reasons are based on the idea of “secondary regulation”, namely, on the assumption that by regulating the intermediaries, public authorities induce intermediaries to regulate (to influence) the activity of their users. The direct targets of the regulation are the intermediaries, but the final targets are the users. Since human action, and in particular communication, today takes place through an increasingly complex and flexible socio-technical infrastructure, the behaviour of the users’ of such infrastructure can often be most effectively regulated by directing legal norms towards the intermediaries who control that infrastructure, and can shape it in such a way that the users’ behaviour is pushed in the desired direction.⁹ This aspect of secondary liability does not necessarily entail a negative evaluation from a legal-political perspective, though its implications for the freedom of users have to be taken into account.¹⁰

Secondary regulation of intermediaries can take different forms. Intermediaries may be requested to adopt specific actions that prevent or mitigate unlawful actions by their users (e.g., security measures, antispam filters, etc.). They may also be required to monitor the activities of their users to facilitate law enforcement (as in regulations imposing data retention). Finally, they may be subject to secondary liability for the unlawful actions of their users, to incentivise them to take whatever initiative is within their power to prevent such actions or mitigate their consequences.

Considerations pertaining to fairness would also favour secondary liability when an intermediary derives an economic profit from the activity of its users. In this case, it could be argued that since the intermediary is profiting (even though indirectly) from an activity that causes damage to third parties, it is fair that some of the intermediary’s profits are used to cover such damage.

Finally, observe that the idea of “secondary regulation” supports intermediaries’ liability only to the extent that intermediaries have some real possibility of limiting the illegal behaviour of the latter. Should an intermediary be unable to exercise any real influence over the behaviour of its users, the punishment of the intermediary on the one hand would have no deterrent effect (it will not reduce unlawful user behaviour), and on the other hand it would be unrelated to any violation of duties of care by the intermediary.

⁹ Jack M Balkin, ‘Old School/New School Speech Regulation’ (2014) 127 *Harvard Law Review* 2296.

¹⁰ On the dangers of techno-regulation, see Roger Brownsword, ‘So, What Does the World Need Now? Reflections on Regulating Technologies’ in Roger Brownsword and Karen Yeung (eds), *Regulating Technologies Legal Futures, Regulatory Frames and Technological Fixes* (Hart 2008).

Let us now consider the rationale for excluding or limiting the secondary liability of intermediaries. We may distinguish different reasons for not making intermediaries liable for the illegal behaviour of their users.

- First, secondary liabilities may negatively interfere with the intermediaries' capacity to maintain and develop their activity. To the extent that liabilities would force intermediaries to abandon or limit their services, they would negatively affect not only the intermediaries concerned—whose economic interests and rights would be curtailed—but also the users of the intermediaries' services. The latter would find it impossible or more difficult to engage in the activities that are enabled by such services. This would negatively interfere with the users' rights whose exercise is facilitated by the intermediaries' services (freedoms of expression, association, information, access to culture, economic initiative, etc.).
- Second, secondary liability may be incompatible with the business model of some intermediaries, a business model that may meet the preferences of their users. Providing a service for free may be incompatible with an extensive subjection to liabilities, since the income of the intermediary may not cover the cost of the resulting sanctions. This applies in particular when free service is provided without exposing users to advertising, on a non-profit base (e.g., Wikipedia).
- Third, secondary liability may induce intermediaries to excessively constrain the behaviour of their users. To avoid the risk of being punished for not having prevented, terminated or mitigated illegal activities, the intermediaries may impede or obstruct lawful activities of their users, even activities consisting in the exercise of fundamental rights and contributing to the common good.

Some reasons for excluding or limiting secondary liability were arguably stronger in the beginning of the commercial Internet than they are now, at least relatively to the leading commercial intermediaries. These intermediaries are highly profitable ventures and possess huge financial resources. They may be able to cover their secondary liabilities without having to change their business model, which is mainly based on sending targeted advertising to their users (much depends on the scope of their liabilities and on the amount of the sanctions to which they could be subject). However, the need to ensure financial sustainability still applies to smaller intermediaries, and also to the large ones which adopt a non-profit, no-advertising model.

The third reason is the more serious one. It is usually addressed under the heading of *collateral censorship*,¹¹ which can be described as follows:¹² “Collateral censorship occurs when the state holds one private party A liable for the speech of another private party B, and A has the power to block, censor, or otherwise control access to B’s speech”.¹³

¹¹ This term was introduced by Michael I Meyerson, ‘Authors, Editors, and Uncommon Carriers: Identifying the “Speaker” Within the New Media’ (1995) 71 Notre Dame Law Review 79.

¹² Balkin, *supra* note 9 at 2309.

¹³ See also the dissenting opinion of Judges Sajó and Tsotsoria in the *Delfi AS v Estonia* App no 64569/09 (ECHR, 16 June 2015).

5 THE PROBLEM OF COLLATERAL CENSORSHIP

Legal regulations imposing sanctions on certain communications (e.g., defamation, hate speech, prohibited pornography, IP violation) aim for a difficult balance. They are meant to deter unwanted speech, but they should not deter communications that are legal and even socially valuable.

The legal quality and the social value of such a regulation should therefore be judged not only by the extent to which it successfully deters unlawful communications, but also by the extent to which it does not deter lawful communication. Ideally, it should indeed maximise the difference between its good outcome, namely the importance of the unlawful communications it deters, and its bad side effect, i.e., the importance of the set of lawful communications it deters. In other words, liabilities should not extend so much that the benefit of preventing unlawful communication is outweighed by the damage of excluding lawful communication.¹⁴

Thus, a crucial issue in assessing the merit of extending liabilities from the performer of an unlawful action to the enabler of that actions, is whether this extension may engender over-deterrence on the enabler's side. The enabler—given its interests, capacities, and information—may react to the threat of secondary liabilities by excessively restricting the sphere of action of the performer, inhibiting lawful and socially valuable behaviour.

There are domains of the law where the enabler of illegal actions is made responsible for the sanctions that are triggered by these actions, at least under private law. The typical domain is labour law, where employers are usually strictly liable for the damage that is caused by their employees.¹⁵ Another domain is media law, where publishers are strictly liable, together with authors, to compensate pecuniary and moral damages resulting from the publication of illegal content.

What is common to these two domains is the fact that the enablers (employers or publishers) have a strong interest in the performance of the activity at issue, have the effective possibility of preventing or deterring its performance, and usually have access to the information relevant to determine its legality. Thus, enablers have both the motivation and the capacity to intervene to restrict the performers' activity when they believe it is most probably illegal, while allowing it when it is most probably legal. Making these enablers liable for the unlawful activities of others should not induce them to excessively restrict performers' behaviour.

This constellation does not seem to apply to most Internet intermediaries, and in particular to content intermediaries, such as search engines and collaborative platforms. These intermediaries may lack the willingness to take the risk of incurring secondary liabilities, as well as the capacity to appreciate the extent of this risk, and the information that is needed to selectively limit it. Therefore, making them secondarily liable may lead to unwanted results.

For instance, a collaborative platform's willingness to take the risk to host a potentially illegal item depends on the platform's view of the benefit it could obtain by distributing that item, as compared with the risk of adverse consequences resulting from its distribution. For commercial platforms, the advantage pertaining to the distribution of a single item lies in the

¹⁴ For an analysis of this issue in the regulation of the right to be forgotten, see Giovanni Sartor, 'The Right to Be Forgotten: Balancing Interests in the Flux of Time' (2016) 24 *International Journal of Law and Information Technology* 72.

¹⁵ Though differences exist across European legal systems; see Gert Bruggemeier, *Common Principles of Tort Law: A Pre-Statement of Law* (BIICL 2004) ch E.

marginal extent to which that item will contribute to attracting the attention of additional users to the platform, and to the advertising (or other) income that may in this way be obtained. For non-commercial intermediaries, it is determined by the importance they attribute—given their social, political, or reputational purposes—to the fact of enabling access to that content.

Since Internet intermediaries provide or facilitate access to huge repositories of information, blocking a single potentially illegal communication usually makes little difference to the achievement of their economic or other goals; on the contrary, enabling that communication may bring the risk of significant losses. Therefore, whenever an intermediary believes that there is some risk of liability, even a small one, or is anyway unable to exclude that such risk exists, it may be inclined to disable the communication.

An overly broad censorial attitude is also favoured by the fact that the intermediaries may lack the information that is needed to assess the liability risks related to a particular item. For instance, a social network may lack the information that is needed to establish whether an online posting contains false statements (which would make the post defamatory). Overly broad censorship may also be favoured by the fact that cost-effective filtering of unwanted content requires automated tools, which inevitably tend to screen out legal materials alongside illegal ones: improvements in the recall of illegalities (in the ability to classify as illegal a larger set of items that are actually so, i.e., to the ability avoid false negatives) usually leads to a deterioration in precision (the ability to classify as illegal only items that are really illegal, i.e., the ability to avoid false positives).

The costs related to possible liabilities, in combination with the costs of the tools and the efforts that are needed to reduce liabilities, may make the activity of certain intermediaries no longer economically sustainable. Non-profit intermediaries, given their business model, are unable to sufficiently transform into income the positive externalities (the individual and social benefits to third parties) resulting from their activities, while secondary liability would force them to sustain the negative externalities (losses to third parties) that these activities generate. Consider, for instance, Wikipedia, whose articles are written by millions of unpaid contributors and are freely accessed by hundreds of millions of readers, with no distraction by advertising. If the Wikipedia foundation—the non-profit intermediary maintaining Wikipedia—were liable to pay damages for any defamatory or otherwise illegal article distributed on the Wikipedia platform, it would have to terminate its activity.

These general considerations have different implications for different sources and conditions of liability, different kinds of sanctions, and different kinds of intermediaries. Secondary liability works better, as a mechanism for secondary regulation, for illegalities that can be detected with ease, cost-effectiveness and precision. This is the case, for instance, for the communication to the public of copies of entire copyrighted works. The illegal nature of this activity is apparent, and software tools exist (content recognition systems) that can detect which copies of a given work occur on a platform, and recognise attempts to upload new copies. The secondary liability of the collaborative platforms that refuse to block access to copies of a specified copyrighted work would not lead to risks of overly broad collateral sanctions: the illegality is clear and cost-effective measures to terminate or prevent it are available. Legitimate worries exist, however, with regard to the accessibility of advanced screening technologies, at a sustainable cost, for smaller companies.

Other sources of liability raise very different concerns. Consider, for instance, cases of defamation or hate speech. In such cases, it may be difficult for intermediaries to identify in advance—before receiving a notice—what messages by their users may be affected by

these grounds of illegality. Even when the inquiry is focused on a specific message, about which a complaint has been made, doubts may remain on whether the message is illegal, or whether, on the contrary, it is lawful, and possibly even socially beneficial. The parties directly involved—on the one hand the issuer of the message and on the other hand the alleged victim of it—may have opposing views; the first may view the message as a way of expressing a legitimate opinion, advancing an individual interest or even a valuable social cause, the second may view the same message as being illegal and harmful. The intermediary concerned, in taking the decision to terminate or maintain access to the message has to act like a judge between two opposite parties, a judge whose interests are to some extent involved in the case (in particular, its interest in reducing its own potential liabilities).

Liability risks may have a different impact on different kinds of intermediaries. It may be argued that big players will have less incentive to exceed in censorship than small players. In fact, the largest commercial intermediaries can effectively limit their legal risks by investing in reliable legal assessment processes and can absorb the cost of possible sanctions. Moreover, in some cases—when they consider that the communication at issue is more likely to be viewed as lawful by the competent authorities—they might willingly accept the risk of the liabilities resulting from an unfavourable authoritative decision, in exchange for the possibility of obtaining a decision favourable to them. The latter decision will benefit such intermediaries not only relatively to the particular communication at issue, but also relatively to the many similar communications they are and will be enabling. Smaller intermediaries or those whose business model does not provide them with large resources, will have to take a much more cautious attitude, and acquiesce in removal requests.

The triggering conditions of secondary liability can also make a difference. Strict liability, which makes the intermediary liable based on the mere fact of having enabled an illegal activity, is more likely to induce excessive collateral censorship. Fault liabilities, especially when negligence consists in the violation of duties of care that are clearly specified and can be implemented in a cost-effective way, are less likely to induce excessive collateral censorship, since the intermediaries complying with such duties may be sure to be on the safe side, and refrain from further censorial interventions. However, safe harbour regulation which provides immunity in exchange for an active behaviour by the intermediaries can also incentivise excessive censorship, where the requested behaviour leads to screening out potentially lawful material (as arguably is the case with the US Digital Millennium Copyright Act, see Section 6).

Finally, overly broad collateral censorship may be induced by excessive penalties. By increasing the cost of possible liabilities to the provider, high penalties provide an incentive to block or limit communications that may give rise to liabilities. This can result in particular from (a) extending secondary liability to the compensation of unlimited moral damages, or (b) imposing of high administrative sanctions on an intermediary that fails to terminate illegal activities by its users.

6 THE LAW ON INTERMEDIARIES IN THE US AND IN THE EU: BACK TO THE 1990s

Let us now proceed to briefly recap the regulation of secondary intermediary liability in the US and in the EU. In both legal systems, legislation was introduced about 20 years ago to shield intermediaries from secondary liability.

6.1 Providers' Liability in the US

In the US, the secondary liability of Internet intermediaries was regulated by two distinct acts, having complementary scopes: the Communication Decency Act (CDA), Section 230, of 1996, addressing all violations, except federal crimes and intellectual property; the Digital Millennium Copyright Act (DMCA/OCILLA), of 1998, only addressing copyright infringements.

The CDA contains two main rules:

- Section 230(c)(1) No provider or user of an interactive computer service shall be treated as the publisher or speaker of any information provided by another information content provider.
- Section 230(c)(2) No provider or user of an interactive computer service shall be held liable on account of any action voluntarily taken in good faith to restrict access to or availability of material that the provider or user considers to be obscene, lewd, lascivious, filthy, excessively violent, harassing, or otherwise objectionable.

The first provision has been understood by the US judiciary as exempting Internet intermediaries (including both search engines and collaborative platforms) from any liability for the illegal behaviour of their users.¹⁶ It is also generally assumed that intermediaries cannot be issued judicial orders to prevent or terminate illegal user activity or to remove illegal content; such orders can only be addressed to the users concerned (the content providers).

The second provision, the so-called good Samaritan rule, clarifies that the intermediaries who take the initiative to exclude or limit access to “objectionable” materials do not lose their immunity. This provision was meant to override the view—affirmed in some judicial cases at the time—that the immunity requires passivity on the intermediary side. The rationale for this rule is to encourage providers to voluntarily prune objectionable materials (such as pornography, violent or offensive speech, etc.); they are not obliged to restrict access to such content, but they are not impaired (losing their immunity) if they choose to do so. This provision also corresponds to the idea that the market will take care of providing different sets of users with the content that suits their preferences and interests: to attract users, platforms will adapt to their preferences.

Secondary liabilities for copyright infringements are subject to a very different set of rules. According to the DMCA, any intermediary who hosts infringing content enjoys non-liability only where it:

- has no actual knowledge that the material is infringing;
- does not receive a financial benefit from infringing activity;
- upon notification of alleged infringement expeditiously removes content or blocks access to it.

The key aspect of DMCA is the notice and take-down procedure. This procedure involves three parties: the hosting intermediary, the alleged right holder and the content provider. The

¹⁶ For a discussion, and references, see Joel R Reidenberg *et al.*, *Section 230 of the Communications Decency Act: A Survey of the Legal Literature and Reform Proposals* (Technical Report, Fordham Law Legal Studies Research Paper No 2046230, 2012).

intermediary preserves its immunity, if it takes down the allegedly infringing materials as soon as notified by the right-holder; however, the intermediary will make the materials available again, in case the content provider objects and the right-holder does not start legal proceedings.

The CDA and the DMCA have been subject to opposite criticisms. The CDA has been criticised for failing both to provide adequate remedies to victims of unlawful activities (defamation, violation of privacy, etc.), and to involve intermediaries in curbing online illegalities. The DMCA has been criticised for inducing censorship: to maintain their immunity, intermediaries tend to remove any allegedly illegal material as soon as they receive complaints, even frivolous ones. Removal becomes a “fait accompli” that content providers usually do not challenge, to avoid the prospect of being involved in costly litigation.¹⁷

6.2 Providers’ Liability in EU

In the EU, the regulation of Internet intermediaries is based on Articles 12–16 of the eCommerce Directive (2000/31/EC), and on the corresponding national implementations.¹⁸ The Directive specifically addresses three kinds of services:

- mere conduit, i.e., transmission over a communication; network of information, or access to a communication network;
- caching, i.e., automatic, intermediate and temporary storage of transmitted information, to increase efficiency;
- hosting, i.e., storage of information.

It states that intermediaries are exempted from secondary liability when providing these services, under the conditions specified in articles 12–15. With regard to hosting, on which I shall focus my analysis, Article 14 specifies that host providers are exempted from liability when

- (a) the provider does not have actual knowledge of illegal activity or information and, as regards claims for damages, is not aware of facts or circumstances from which the illegal activity or information is apparent; or
- (b) the provider, upon obtaining such knowledge or awareness, acts expeditiously to remove or to disable access to the information.

The Directive (Article 15) specifies that intermediaries may be ordered, by competent authorities, to terminate or prevent infringements by their users, but they may not be subject to any “general obligation to monitor the information which they transmit or store” nor to “actively to seek facts or circumstances indicating illegal activity”.

From this sketchy account, there emerge important differences between the US and the EU legislation. First, while the DMCA provides a special regulation for copyright infringements, the Directive does not distinguish between different violations. Second, in opposition to the broad scope of the CDA, covering any “interactive computer service”, the Directive only

¹⁷ For a discussion see Mark A Lemley, ‘Rationalising Internet Safe Harbours’ (2007) 6 J. on Telecomm. & High Tech. L., 101.

¹⁸ For an introduction to the Directive and to its application in the Member States, see Thibault Verbiest *et al*, *Study on the liability of Internet intermediaries* (Markt/2006/09/E., Report drafted for the EU Commission on the state of implementation in the single member States of the e-commerce directive (2000/31/EC) November 2007).

addresses three named services: mere conduit, caching and hosting. Third, while the CDA has been understood as excluding that intermediaries can be subject to authoritative injunctions, this subsection explicitly stated in the Directive. Fourth, while the CDA's "good Samaritan clause", explicitly includes in the liability exceptions the providers that actively engage in blocking access to "objectionable materials", recital 42 of the Directive states that the liability exemptions only cover activities having "mere technical, automatic and passive nature".

These differences point to some important issues. First, we might wonder whether the EU should also have a separate set of rules for copyright infringements. In fact, many instances of copyright infringement can be more easily detected and assessed than other kinds of violations, while notice and action procedures for copyright violations are already in place in various EU countries. Second, the fact that the EU Directive only addresses three kinds of service raises the issue of what regimes apply to the intermediaries that do not fall clearly into one of the protected kinds, such as search engines and participative platforms, still in their infancy in 2000. Third, while it is undoubtedly true that subjecting intermediaries to authoritative orders is needed to protect the victims of online illegalities, important doubts remain concerning the admissibility of broadly scoped orders. Fourth, the practice and social function of content intermediaries in today's Internet ecology challenge the view that passivity is a necessary condition for immunity.

7 STILL THE RIGHT FRAMEWORK?

The US and EU legislation presented in Section 7 was introduced around 20 years ago, like similar regulations enacted in other countries, such as Japan and Canada. Such legislation has supported the growth of the Internet economy and ecology: by reducing liability risks for intermediaries, it has facilitated the provision of intermediation services, and consequently has contributed to the economic and social activities relying on these services.

However, these exemptions are now under debate, and it is questioned whether they are still appropriate. Today the leading online intermediaries no longer are small start-ups, facing strong incumbents with little resources and experimental technologies; they have acquired huge economic power, becoming dominant players in their respective markets; they have huge financial and technological resources at their disposal. For instance, Google now manages more than 90 per cent of the web searches in Europe, while Facebook handles more than 80 per cent of the social network usage. This dominance is reflected by changes in related markets, such advertising: Google and Facebook attract about one-half of the expense for online advertising, which now represents the largest share of the total advertising expense (having overtaken television advertising, while newspaper advertising has collapsed). The economic power of the leading intermediaries contributes to give them the capacity to influence political decisions, through lobbying or by mobilising political opinion (as happened in the US when regulations were proposed that would increase providers' liabilities and judicial powers concerning copyright infringements).

Another important development pertains to technologies for identifying and filtering out illegal content. While a human control of each piece being indexed by a search engine or made available on a platform is often unfeasible, software tools have become available that can target illegal material with increasing accuracy. Such tools are far from perfect—they risk excluding a lot of lawful and socially beneficial materials, alongside illegal ones—but

in some domains (e.g., recognition of unauthorised distribution of copyrighted works), their performance enables an effective and sufficiently precise control.

Some intermediaries are taking an increasingly active role: they contribute to frame the way in which third-party content is created, they determine the way in which it is accessed, they combine further processing to that initiated by their users (e.g., indexing or linking). This is usually instrumental to the main function of the intermediary. For instance, social networks contribute to their mission—facilitating communication and social connection between their users—by providing templates through which users can prepare and organise the material they publish online; by suggesting links to users having similar interests; by presenting each user with the materials in which that user may be more interested, etc. Similarly, a search engine contributes to its mission—connect providers and users of online content—by indexing the content uploaded by content providers and by presenting users with content that is likely to be relevant to them. As observed by Yoo,¹⁹ a certain degree of initiative, or editorial discretion, is needed for a content intermediary to effectively exercise the function to “help end users locate and obtain access to content they find desirable”. Intermediaries, however, also engage in activities that are not connected to their intermediation function. For instance, they may link advertising to queries or to content, and they process user data of their own initiative. They may also frame their services in ways that—while still meeting to a sufficient extent the preferences of users—are geared towards other goals, commercial or not. This may concern favouring certain communications for private purposes (which may be unfair or even illegal, e.g., prioritising certain companies in search results) or also for social purposes that are endorsed by the intermediary.

In some case intermediaries indeed play an active role that assumes political significance; they engage in controlling and manipulating certain interactions. For instance, Kent Walker, senior vice president at Google, claims that Google intervenes in the following ways to counter online extremism:

- using technology to identify (and remove) extremist videos;
- employing experts (from NGOs) to make decisions;
- putting warnings and excluding monetisation, comments and endorsement from offensive but not prohibited videos (e.g., those being both inflammatory and religious or supremacist);
- redirecting potentially radicalised users to materials that can change their mind.²⁰

As intermediaries frame and control the communications they enable, the law tends to use this capacity to regulate the activity of the users of the intermediaries’ services: it establishes obligations and liabilities for intermediaries to induce the latter to prevent or restrain illegal or unwanted users’ behaviour.

A most significant piece of this kind of legislation has been enacted in Germany, namely, the German Social Networks Enforcement Law (*Netzwerkdurchsetzungsgesetz*), adopted on 1 September 2017. Under this law, social media platforms will have to take down posts containing “obviously illegal” material within 24 hours of being notified of it. For less obviously

¹⁹ Yoo, *supra* note 2 at ch 9.

²⁰ Kent Walker, ‘Four ways Google will help to tackle extremism’ *Financial Times* (London, 18 June 2017) <www.ft.com/content/ac7ef18c-52bb-11e7-a1f2-db19572361bb#comments-anchor> accessed 6 May 2020.

criminal content, the compliance timeframe is seven days. If a platform repeatedly fails to meet these deadlines, it will be liable for fines of up to 50 million euros.

At the EU level, various initiatives have been recently adopted that establish proactive duties for intermediaries:²¹

- The 2011 Directive on child sexual abuses that provides for obligations to remove and block access against websites containing or disseminating child sexual abuses.
- The 2017, Directive on terrorism that provides for similar obligations against public provocation online to commit a terrorist offence.
- The 2018 Directive revising the Audiovisual Media Service Directive, which includes new obligations for video sharing platforms to tackle hate speech and violence.
- The 2019 Directive on Copyright in the Digital Single Market establishes that the liability exemption for host providers does not cover the unauthorised communication or making available to the public of material uploaded by their users, and establishes obligations for such providers (including best effort to implement agreements with right-holders and remove and prevent access to works identified by them).

Many judicial decisions require providers to actively counter illegal information or activities by their users, in order not to incur in liabilities. At the European level, we can mention the following:

- The 2014 *Google-Spain* decision of the European Court of Justice requires search engines to comply with a person's requests to remove unwanted links to personal information from the results of searches made on the basis of that person's name.²²
- The 2017 *Ziggo* decision by the European Court of Justice affirmed that "a sharing platform which, by means of indexation of metadata relating to protected works and the provision of a search engine, allows users of that platform to locate those works and to share them in the context of a peer-to-peer network" engages in the communication to the public of those works (and may consequently be subject to the corresponding sanction).²³
- The 2019 *Facebook* decision by the European Court of Justice affirmed the admissibility of injunctions ordering providers to remove and block unlawful information including the any identical or equivalent information, worldwide.²⁴
- The 2015 *Delfi* decision by the European Court of Human Rights upheld an Estonian decision punishing a journal that had failed to remove readers' online comments containing expressions of hatred, in the absence of specific complaints.²⁵

²¹ Alexandre de Streel, Miriam Buiten and Martin Peitz, 'Liability of Online Hosting Platforms: Should Exceptionalism End?' (CERRE Report September 2018).

²² Case C-131/12 *Google Spain SL and Google Inc. v Agencia Española de Protección de Datos (AEPD) and Mario Costeja González* [2014] ECLI:EU:C:2014:317.

²³ Case C-610/15 *Stichting Brein v Ziggo BV and XS4All Internet BV* [2017] ECLI:EU:C:2017:456.

²⁴ Case C-18/18 *Eva Glawischnig-Piesczek v Facebook Ireland Limited* [2019] ECLI:EU:C:2019:821.

²⁵ Case *Delfi AS v Estonia*, *supra* note 13.

8 HOW (NOT) TO OVERCOME LIABILITY EXEMPTIONS

At both the European and the national level, in recent years the tendency has emerged to increase pressure on intermediaries to counter illegal activities by their users. This tendency leads to various strategies meant to limit the scope of the liability exemptions provided by the eCommerce Directive.

8.1 Who is a Real Host Provider?

A first strategy consists in denying that certain intermediaries are shielded by the eCommerce Directive. This conclusion is often based on the assumption that only “passive” intermediaries enjoy protection. In particular, it has been argued that only “passive hosting” is covered by the concept of hosting, as used in Article 14 of the Directive. Thus, those intermediaries that store and make accessible user-generated materials, but also organise these materials, index them, link them to ads, remove unwanted items, etc., do not enjoy the protection that is granted to hosting services. This strategy is complemented by the view that today the idea of passivity needs to be detached from the idea of automaticity: human intervention is no longer needed to make a service “active”, since automated processing has become flexible and selective.

As a consequence of this double move—considering that only passive intermediaries are protected, and that automated services may be non-passive—it has been denied that the social networks (e.g., Facebook), content-sharing platforms (e.g., YouTube), and search engines (e.g., Google) fall under the protection of the eCommerce Directive. This approach has been followed by the case law of various European countries. However, arguments to the contrary can be raised too, arguing that even active intermediaries should be protected, as long as their activity pertains to their function of facilitating communications initiated by third parties.

In the following I sketch some arguments and counterarguments used to conclude that “active” intermediaries provide or do not provide a protected hosting service:

- Collaborative platforms:
 - No, they do not provide hosting, since they are not really “passive”, as they organise and index content, link ads to it, and remove objectionable materials.
 - Yes, they do provide hosting, since they store and make accessible content provided by third parties.
- Search engines:
 - No, they do not provide hosting, since they autonomously index websites and determine the outcome of searches.
 - Yes, they do provide hosting, since they are implicitly authorised by online publishers (uploaders) to index all content on the open web and make it accessible through an algorithm meant to satisfy users’ preferences.
- Newspapers including reader comments:
 - No, they do not provide hosting, since they also provide their own content, and may moderate users’ comments.
 - Yes, they do provide hosting, since they enable users to upload their comments.

The idea that active host providers are not “real” host providers has gained more support in those legal systems that have implemented the eCommerce Directive in such a way as to offer host providers a stronger protection than required by the Directive. Such a protection, which

may have been appropriate 20 years ago, under present conditions may appear unjust or ineffective. This is the case, for instance, with the Italian legal system. According to the Italian implementation of the eCommerce Directive (Legislative Decree No 70 of 2003, Article 16), host providers lose their immunity only when they fail to remove illegal content, “upon communication by the competent authorities”; a notice by the parties concerned is apparently insufficient to terminate the immunity. Thus, host providers are induced to remain inactive until they receive an official order, the injured parties having the burden of requesting an authoritative intervention, and in any case not being entitled to compensation (by the providers) for the damage suffered before the official order is issued. To prevent this inconvenient result, the judges would need to affirm the liability of host providers that fail to act on precise complaints by their users, concerning uncontroversial illegalities, even in the absence of an authoritative order. A shortcut for achieving this outcome, without explicitly contradicting the letter of the law, has been found in denying that the intermediaries at issue are real “host providers” according to the law, by appealing to their active attitude.

8.2 When Does a Host Provider Lose its Immunity?

According to Article 14 a protected host provider does not enjoy the exemption when it remains inactive while having “actual knowledge of illegal activity or information and, as regards claims for damages, is not aware of facts or circumstances from which the illegal activity or information is apparent”. We may wonder whether the actual knowledge at issue only concerns the presence of an activity or information (which happens to be unlawful) on the platform, or whether it also includes knowledge that the activity or information is unlawful.

According to the first interpretation the intermediary would lose its immunity even when there is legal uncertainty about the unlawfulness of that information; according to the second the intermediary would maintain its immunity under such circumstances. This second interpretation would correspond to the Italian text of the Directive according to which the provider loses the immunity when it “is not actually aware that the activity or information is unlawful” (so apparently requiring awareness of the unlawfulness of the information, rather than awareness of unlawful information). The first interpretation puts more pressure on intermediaries, who may be induced not only to invest more resources in legal assessments, but also to remove any content that—given any possible legal interpretation or possible contextual facts—might be viewed as illegal by the competent authorities.

8.3 When Does an Injunction Become General?

The Directive prohibits any “general obligation to monitor”. This raises the issue of what activities intermediaries may legitimately be required to perform to address illegal behaviour of their users.

This issue is particularly significant in the domain of copyright infringements. Can intermediaries only be requested—by rightsholders, or by competent authorities—to remove single, individually identified (usually through their Internet address), copies of protected works, or can they also be requested to remove all copies of a given work present in a depository (so that the provider has the burden of identifying these copies)? Can these requests extend to preventively blocking the reintroduction of copies of specified protected works, or also to

presentively blocking the insertion of all works in a certain category (all episodes of a certain TV series), or even to all fragments of such works?

To answer these queries, the apparently descriptive concept of a “general obligation” (which delimits the sphere of the admissible orders) should become the focus of teleological interpretation. From the case law, it clearly emerges that a “general obligation” is not an obligation having a quantitatively large scope, but rather an obligation that at the state of the art cannot be efficiently and selectively implemented. The scope of this notion is also susceptible to change depending on the available technologies. For instance, removal or filtering obligations that were considered “general” when mature content identification technologies were not available (e.g., preventing all attempts to reintroduce a work in a repository), may no longer be viewed as general today, since cost-effective ways exist to identify the targeted materials. Similarly, the obligation to remove or preventively block classes of items may appear less general in those domains (such as copyright infringements or child pornography) where more cost-effective automated means to identify illegal material exist, than in domains (such as hate speech or defamation), where no such means are available.²⁶

These ideas have now entered the EU legislation in the 2019 Copyright directive, which at Article 17(4)(b) requires host providers to demonstrate that they have

made, in accordance with high industry standards of professional diligence, best efforts to ensure the unavailability of specific works and other subject matter for which the rightsholders have provided the service providers with the relevant and necessary information; and in any event [...] acted expeditiously, upon receiving a sufficiently substantiated notice from the rightsholders, to disable access to, or to remove from their websites, the notified works or other subject matter, and made best efforts to prevent their future uploads.

9 PASSIVITY AND IMMUNITY

The regulation of secondary liability of intermediaries is meant to balance conflicting sets of goals:

- to limit illegal online activities or mitigate their consequences, and compensate the victims of such activities;
- to preserve the viability of intermediaries’ services, according to profit and non-profit business models, without forcing the intermediaries into the collateral censorship of permissible information exchanges.

To successfully implement all these objectives, we must abandon the view that only “passive” intermediaries be protected, i.e., the view that intermediaries that take a “non-passive”, or “active role”—by indexing user-generated content, or linking advertising to it, or determining what results will be provided to user queries—should lose their protection from secondary liability. What justifies the exemption from secondary liability is not the passivity of intermediaries, but rather their function as communication enablers. This role would be incompatible

²⁶ Georgios N Yannopoulos, ‘The Immunity of Internet Intermediaries Reconsidered?’ in Maria Rosa Taddeo and Luciano Floridi (eds), *The Responsibilities of Online Service Providers* (Springer 2017).

with initiating the communications at issue, but may allow or even require playing an active role in creating an environment in which users' communications can be delivered and made accessible.

For instance, search engines provide their users with a selection of the materials available on the web, according to search algorithms that are meant to satisfy user preferences and needs, to keep users on the search engine. This activity is entailed by the very purpose of the search engine's activity, i.e., helping content consumers retrieve material that are interesting to them, and helping content providers reach content-users. Therefore, it should not exclude protection from secondary liability. Similarly, the fact that a collaborative platform is active—provides tools for structuring materials, indexes such materials, and connects them through links—does not entail that the platform should not enjoy protection from secondary liability. The same conclusion holds for a newspaper hosting user-generated content. It is true that the newspaper also publishes its own content, for which it is responsible, but while hosting readers' comment the newspaper enables third-party communications. The fact that the newspaper is also a content provider, should not affect its protection from secondary liability when playing the enabler's role.

Protection from intermediary liability should not be affected by the fact that the intermediary is a business entity, operating for commercial purposes, as long as these purposes are achieved by enabling communication between third parties. The fact that advertising may be linked to user-generated content, should also not affect the exclusion from liabilities pertaining to that content. The intermediary in fact is not protected for the sake of its profit or non-profit goals, but for the way in which it enables users in achieving their communicative purposes. Therefore, the intermediary's goals should in principle be irrelevant.

In particular, the fact that intermediaries may take initiatives to remove or block illegal, inappropriate or irrelevant content or activity, should not affect their protection from secondary liability. Making the protection conditional on passivity would induce a hands-off approach that would result both in an increased quantity of online illegalities and in the failure to satisfy the users that prefer not to be exposed to objectionable or irrelevant material (these motivations explain the US good Samaritan clause). Moreover, censorship meant to satisfy the needs of the users of the intermediaries, is different from censorship motivated by the threat of legal sanctions. The first kind of censorship will only be pursued as long as it is cost-effective, and does not exclude the possibility that the censored user may switch to a different intermediary having a different audience and policy (we should, however, take into account monopolistic nature of many Internet services, which may justify a protection of users' freedom of expression against unjustified censorship by dominant intermediaries).

Finally, note that the protection of "active" intermediaries from secondary liability is fully compatible with the subjection of these intermediaries to liability for their own wrongful actions. Such wrongful action may pertain to the way in which the intermediary engages in the intermediation (e.g., by giving unfair precedence to its own content or products, misleading users, etc.) or in ancillary activities (e.g., by unlawfully processing of users' data, by distributing unlawful content generated by the intermediary, etc.).

10 A REGIME FOR THE IMMUNITIES OF INTERMEDIARIES

The issue of regulating the liabilities of intermediaries involves two questions, the first of which is preliminary to the second. Do we need a special regulation limiting the secondary liability of intermediaries, or should we rather rely on the general principles of civil, administrative, and criminal law? Assuming that we need such a regulation, what principles should inspire it and how should they be implemented?

10.1 A Special Regulation Limiting the Secondary Liability of Intermediaries

It may be argued that need for a special regulation for the secondary liability of intermediaries is questioned by the judicial trend toward expanding providers' liability through the "marginalization of the special Internet immunities in favour of ordinary rules".²⁷ However, the need to ensure some consistency at the European level strongly supports the need for EU regulation on the secondary liability of intermediaries. Relying on national liability principles would not only fail to provide sufficient harmonisation at the EU level, but it will also fail to provide certainty at the national level, given the current confused dialectics of conflicting theories, views, and standards for decisions.

Let us now consider what could be an appropriate regime for intermediaries' liability.

- First, to remain meaningful in today's Internet, a regulation of intermediaries' secondary liability should have a broad personal scope, including in particular the main content intermediaries of our times, namely, search engines and social networks.
- Second, exemptions from secondary liability should have a broad material scope, covering all kinds of illegal activities that are enabled by the intermediary. They should also cover violations of data protection law.²⁸ Some doubts in this regard were originated by Art. 1 of the eCommerce Directive, according to which this directive does not apply to question covered by the Data Protection Directive. These doubts are now resolved by Article 2 of the new General Data Protection Regulation (GDPR), according to which this regulation "shall be without prejudice to the application of Directive 2000/31/EC, in particular of the liability rules of intermediary service providers in Articles 12 to 15 of that Directive".²⁹
- Third, it should be clarified that the immunity is maintained when the intermediary intervenes actively, through automated or non-automated means, to shape services that consist in enabling third party communications, in order to meet users' preferences. This includes cases where the intermediary in good faith prevents access to objectionable material or activity (good Samaritan clause).
- Fourth, the exemption from secondary liability should not exclude subjection to orders by competent authorities. The prohibition on enjoining excessively broad obligations to monitor users' activity (established by Article 18 of the Directive) should be maintained,

²⁷ Uta Kohl, 'Google: The Rise and Rise of Online Intermediaries in the Governance of the Internet and Beyond (Part 2)' (2013) 21 *International Journal of Law and Information Technology* 187.

²⁸ Giovanni Sartor, 'Case c-131/12, Google Spain and Google Inc. v. AEPD et Costeja Gonzalez. Search Engines as Controllers: Inconvenient Implications of a Questionable Classification' (2014) 21 *Maastricht Journal of European and Comparative Law* 564.

²⁹ Giovanni Sartor, 'Providers' Liabilities in the New EU Data Protection Regulation: A Threat to Internet Freedoms?' (2013) 3 *International Data Privacy Law* 3.

possibly clarifying that the excessive broadness does not just depend on the generality of the obligation, but also on the technological possibility of implementing the obligation in a sustainable and cost-effective way, and on its impacts on users' rights.

- Fifth, exemption from secondary liability should end when the provider knows or should have known of the illegitimate activity, clarifying that the knowledge that is requested includes two aspects: the knowledge that a certain piece of information or a certain activity is present on the platform, and the knowledge that this information is illegal. Under conditions of uncertainty about the legal status of a piece of information—which may depend on uncertainty about the interpretation of legal rules, but also on uncertainty about the surrounding circumstances—the exemption should be maintained.

In general, we might say that the exemptions from secondary liability should not apply when the provider contributed to the unlawful behaviour of its user by failing to exercise due care, namely, to adopt reasonable measures that could have prevented that behaviour or mitigated its effects.³⁰ The crucial issue is to determine what measures are required by reasonable due care.

10.2 Due Care by Online Intermediaries

The assessment concerning when the provider fails to exercise due care when it omits certain measures that would prevent illegal behaviour should be based on several factors, such as:

- the gravity of the risk of unlawful user behaviour that the omission of the measures would entail, this risk including both the probability of such behaviour and the seriousness of the damage it may cause;
- the technologies that are available for implementing such measures;
- the economic sustainability of each measure, given the (socially beneficial) business model adopted by the intermediary;
- the way in which the measures may affect the rights and interests of the users of the intermediary, as well as social values.

This list shows that the reasonable allocation of secondary liability presupposes a proportionate assessment of the balance of the values at stake with regard to the adoption of a precautionary measure or with regard to the adoption of a feature that exposes third parties to risks. A provider that enables a certain behaviour could be held responsible for harms that could have been prevented by adopting sustainable precautionary measure, unless adopting such measures would have caused individual and social harm (in aggregate) more important than the harm caused by the illegal behaviour that is enabled by the absence of such measures. When the latter is the case, we would be inclined to say that the harm was only produced by the user's behaviour, or at least, that there is no fault in the provider. Consider, for instance, that the unlawful download of copyrighted content could be prevented by impeding any download of music or movies, that privacy violations could be blocked by preventing any post that includes personal data, or that hate speech could be reduced by removing any content that expresses

³⁰ On duties of care of intermediaries, see Peggy Valcke, Aleksandra Kuczerawy and Pieter-Jan Ombelet, 'Did the Romans Get it Right? What Delfi, Google, eBay, and UPC Telekabel Wien Have in Common' in MariaRosa Taddeo and Luciano Floridi (eds), *The Responsibilities of Online Service Providers* (Springer 2017).

a negative sentiment. However, each of these interventions would involve an unacceptable reduction of users' freedom of expression and information. For example, as the EU Court of Justice has affirmed in the *Promusicae* case (*Productores de Música de España v Telefónica de España SAU*, Case C-275/06,) the request to filter out all unauthorised copyrighted works transmitted over a communication network will go beyond the required reasonable care, by excessively burdening the provider and disproportionately affecting users' rights.

On the other hand, we should accept that in certain cases due diligence may require preventive interventions, in particular where controls are available that enable the detection of illegal materials, minimising the risk of false positives. For example,—given the availability of effective content identification technologies, and their economic sustainability—due diligence may include the preventive screening of the reintroduction of entire copyrighted works, whose removal has already been ordered (as now explicitly by the Court of Justice in its 2019 *Facebook* judgment). Similarly, the prohibition to provide links to certain materials in response to queries based on a person's name may extend to the future posting of copies of such materials, if such copies can be automatically identified. The availability of effective ways to control the distribution of malicious software may lead to the liability of the intermediary that has hosted or transmitted that software.³¹

The legislative introduction of adequate notice and action procedures—which require an active behaviour by the intermediary who has received a notice from a person that is affected by an alleged illegality—should also be considered. As noted, the procedure prescribed by the US DMCA could lead to excessive removals, since the intermediary who removes the allegedly illegal content is protected from any liability, while failure to remove the content will lead to liability in case the content is subsequently found to be illegal by the competent authority. A possible alternative may consist in granting immunity from sanctions to intermediaries that in good faith believe that the content is legal under circumstances of legal uncertainty, while subjecting the same content to removal injunctions. This may induce intermediaries to take the responsibility for adjudicating the conflict between content providers and alleged victims. Such an implied delegation of a public function to a private actor may be acceptable when both parties to this conflict—the alleged right-holder and the publisher) have easy and cheap access to remedies against an unfavourable decision by the intermediary, and when transparency is ensured. Leading intermediaries, such as Google and Facebook, are already adopting procedures for addressing users' complaints concerning the publication or the removal of materials, though doubts are raised by the lack of transparency and public standards for such decisions.

Among the aspects to be considered in determining the extent of the intermediaries' exemption from secondary liability are the following: the extent to which the intermediary is interested in the accomplishment of the actions it enables, the gravity of the damage that may be caused by the illegal activities, the difficulty of identifying illegal activities, the harm that may be caused by impeding lawful activities. Based on such considerations, for instance, intermediaries should be maximally protected from liability where their intervention may affect their users' freedom of expression (whose violation also negatively affects the right of the public to be informed). On the contrary they should be subject to a stronger obligation to take active care where they enable commercial transactions, including advertising, and their

³¹ Doug Lichtman and Eric Posner, 'Holding Internet Service Providers Accountable' (2006) 14 *Sup. Ct. Econ. Rev.*, 221; and Michel JG van Eeten et al., *The role of internet service providers in botnet mitigation* (OECD Science, Technology and Industry Working Papers 5, 2010).

active intervention is needed to protect consumers and provide security and trust. The need to distinguish the hosting of users' communication as opposed to advertising was affirmed by Advocate General Maduro in his opinion on the 2009 *Luis Vuitton v Google case* (Joined Cases C-236/08, C-237/08 and C-238/08),³² though this idea was not adopted by the Court in the decision of this case. A very important issue, on which further interdisciplinary research is needed, is the extent to which intermediaries' duties of care may be differentiated depending on their business models and on their economic and technological capacities.

10.3 Proportionality and Design Responsibility

A further issue concerns whether the duties of care of intermediaries may be viewed as pertaining to a general design responsibility, namely, to their responsibility from failures that result from the way in which their platforms have been designed, a responsibility which could be avoided by adopting a different design (e.g., by filtering or moderating users' generated content).

Let us use the term accountability to mean, in a very general sense, the duty to provide adequate answers, namely, the situation of an actor who has some possibility to influence an outcome, and therefore may be asked for explanations when the outcome is defective, and may be subject to some negative consequences if such explanations are inadequate, namely, if it appears that the actor has culpably failed to act appropriately to prevent the defectiveness.³³ It seems that under this broad notion of accountability, we may indeed assume that intermediaries are accountable, jointly with their users, for harms being caused by unlawful users' activities, since intermediaries have enabled such activities and may have had the possibility of contrasting them. A generic accountability for harmful users' activities also extends to public authorities, who may also influence users' behaviour through appropriate policies meant to reduce user-generated harm, directed towards users or intermediaries.³⁴ However, the fact that actions and omissions of different actors have some influence on users' (unlawful) behaviour does not mean that each one of these actors should be viewed as morally blameworthy or legally liable for all harms directly caused by users.

In particular, the ascription of a legal liability to intermediaries should require an assessment of the availability of effective and proportionate risk-reduction measures. In other terms, the liability of intermediaries for users' behaviour should presuppose that proportionate risk-reduction measures—e.g., screening or removing users' content, monitoring users' behaviour, banning users from engaging in inappropriate behaviour, disabling or making less usable those features that may most probably be unlawful action, etc.—were available. The proportionality of such measures would consist in the fact that their implementation would not lead to harms—with regard to legally protected interests and values, such as free speech, right to information or even the freedom to conduct a business—more important than the

³² Case C-236/08 *Google France SARL and Google Inc. v Louis Vuitton Malletier SA* (C-236/08), *Google France SARL v Viaticum SA and Luteciel SARL* (C-237/08) and *Google France SARL v Centre national de recherche en relations humaines (CNRRH) SARL and Others* [2010] I-02417.

³³ Mark Bovens, *The Quest for Responsibility: Accountability and Citizenship in Complex Organisations* (CUP 1998).

³⁴ Natali Helberger, Jo Piersonb and Thomas Poell, 'Governing Online Platforms: From Contested to Cooperative Responsibility' (2018) 34 *The Information Society* 1.

harms to third parties that such measures could successfully prevent. If the intermediary has omitted proportionate measure, it may indeed be claimed that the intermediary has exposed third parties to unacceptable risks, i.e., risks that were not justified by the benefits that the platform provides to its users and to society, and consequently, the intermediary may be liable for resulting harm.

This balancing exercise should consider not only individual interests and rights, but also the social values involved. A clue in this direction can be found in the GDPR, that requires data controllers to proactively embed privacy protection measures in their data processing systems (Article 25) and that allows for the processing of personal data to the extent that it serves legitimate interests of the controllers or third parties that are not outweighed by the processing's negative impacts on the rights and interests of data subjects (Article 6(1)(f)). The assessment of the activities of service providers according to proportionality would similarly require a comparison on the one hand of the interests of providers and their users, as well as the public interests in the circulation of information and open debate, as opposed to the contrary interests of the affected third parties and to the public interest in limiting the circulation of content having a negative impact on the public (hate speech, fake news, etc.). Finally, note that, in the absence of specific legal norms, secondary liability for the omission of risk reduction measures, or for the introduction of risk-generating features, should be limited to civil liability, to the exclusion of criminal sanctions. The preconditions for criminal liability, including causality, *mens rea*, and legality are generally not present with regard to a platform that enables unlawful activities by its users, alongside with permissible ones (except in limit cases in which promoting unlawful activities is the goal pursued through the platform).

11 CONCLUSIONS

This chapter has developed a critical analysis of providers' exemptions from secondary liability. It has been argued that, contrary to some current views, strong reasons exist for maintaining a regulation shielding providers from secondary liability: the exemptions introduced by the eCommerce directive are still needed to ensure the provision of intermediation services under different business models, as well as the freedoms of the users of such services (protecting them from excessive collateral censorship).

However, the increased economic and social power of intermediaries and their key role in enabling communication and access to information may justify sustainable and proportionate duties of care. The law needs to incentivise intermediaries into adopting techno-social solutions through which they can implement such duties of care, namely, best balance the need to enable users' expression, access to information and participation in open public debates, while limiting possible harm to third parties and promoting civility (which also is in the interest of participation and critical discussion). Finally, I would like to stress that the legal obligations of intermediaries go beyond their secondary liability (involving the way in which intermediaries process users' data, establish and enforce contractual relations, influence users' behaviour, etc.), and that the ethical responsibilities of intermediaries may go beyond their legal obligations,³⁵ but these matters exceed the scope of this chapter.

³⁵ Mariarosaria Taddeo and Luciano Floridi, *The Responsibilities of Online Service Providers* (Springer 2017).

This chapter was prepared before the publication of the recent proposal by the Commission of a Digital Service Act, which amends the eCommerce Directive.³⁶ I cannot here address the new legislation, which would introduce many important changes in liability of providers of online services. I just remark that the Digital Service Act, if the content of the present proposal were maintained through the EU legislative procedure, would fit some of the considerations developed above. The Act maintains indeed the liability exemptions established by the eCommerce Directive, by reproducing (with some updates) in Articles 3, 4, 5 and 7 the content of Articles 12, 13, 15, and 16 of the Directive. It establishes a “good Samaritan clause” at Article 6 (though limited at activities aimed against unlawful content). It introduces a notice and action mechanism for hosting services at Article 14. It imposes obligations to proactively and preventively mitigate risk upon very large online platforms, at Article 27, together with mechanisms for risk assessment, auditing, and transparency.

³⁶ Proposal for a Regulation of the European Parliament and of the Council on a Single Market for Digital Services (Digital Services Act) and amending Directive 2000/31/EC, COM/2020/825 final.